

In contrast, the dull stocks that had been thought of as the widow and orphan variety had, by then, compiled a record of extraordinary consistency. It began to dawn on investors that a 10% per year growth in, say, General Foods or Florida Power and Light was more attractive than the volatile earnings patterns of steel, aluminum, paper, or chemicals. The growth had greater stability and could be expressed in compound terms. Thus, compound annual growth rates were discovered and the mathematical magic of compounding was seized upon as the basis for a great speculative boomlet in the stock market. The boomlet was eagerly fed by underwriters who discovered that all the public needed was a five-year earnings record of consistent gains that could be used for speculative extrapolation of a compound annual growth rate. The new issue boom was wild and undiscerning. Past growth rates dominated valuations without regard to the quality or size of the enterprise.

Even though the speculation of 1960–62 fell of its own weight, the concepts it engendered, and the outstanding investment results compiled by certain nontraditional institutional investors, had considerable durability. Compound growth rates, derived largely from past records, became *de rigueur*; formed the basis of the “one-decision” stock speculation of 1971–73, and remain with us today as the mainstay of most valuation procedures for stocks, even in the aftermath of the collapse of growth stocks. The usefulness of growth rates depends upon a stable economy, for without a high degree of economic stability they are a useless concept, difficult to forecast with any confidence, and requiring the use of a normalized earnings approach.

All of which raises the important question of the effect of inflation upon the usefulness of compound growth rates. With only modest exaggeration it can be said that inflation has turned every company into a growth company, at least in terms of reported earnings. While there has been some good work done that attempts to remove general price level inflation, underdepreciation, and inventory profits from reported